

It took the stock about 3 weeks to decline to my stop price and take me out of the trade at 14.75, the low for the day. Then it climbed from there. So I bought at a peak and sold at a valley. Buy high. Sell low. The exact opposite of what you should do. Jeepers. I lost 6%.

I wonder if someone gunned for the stop (forced price down to trigger the stop). That day was a tall day (big high–low price spread). The stock climbed 38% above my sale price after I sold. That just made it worse.

I had the right idea, the right stock, and the stock climbed as I expected. But the stop-loss order took me out of the trade too soon.

- Lesson: I wonder if the stop was placed properly. I didn't find an explanation of why I raised the stop two days after I bought, even as price dropped during those two days (forming a shark-32 pattern: a 3-day pattern with lower highs and higher lows).

Vertex Pharmaceuticals

A similar situation occurred in Vertex Pharmaceuticals (VRTX). According to my notebook, I bought in late into a triple bottom. However, looking at the chart shows that the triple bottom didn't break out (confirm) before I bought.

Anyway, the stock dropped far enough to hit my stop, handing me a 9% loss. The stock climbed 17% and then dropped 28% before making a 419% rise. If I had waited for confirmation before buying, I would have participated in that huge rise.

Cemex

Cemex (CX) in late 2007 showed a different scenario. The stock formed a triple bottom, which confirmed as a valid pattern. Price broke out upward, soared, and within a few weeks had returned to the breakout price in a classic throwback. That's when I bought.

Here's my notebook: “27 October 2007. This appears to be making a triple bottom, so I am going to buy at market open on Monday. The others in the industry are showing strength. [The company] said they will try to raise prices next year but noted the US housing market is weak and that's hurting